

"I have kept the PM informed of all developments"

Excerpts from letters exchanged between the prime minister and telecom minister on the controversies dogging the sector



From Prime Minister, November 2, 2007

Dear Shri Raja,

A number of issues relating to allocation of spectrum have been raised by telecom sector companies as well as in sections of the media. Broadly, the issues relate to enhancement of subscriber linked spectrum allocation criteria, permission to CDMA service providers to also provide services on the GSM standard and be eligible for spectrum in the GSM service band, and the processing of a large number of applications received for fresh licences against the backdrop of inadequate spectrum to cater to overall demand.

I would request you to give urgent consideration to the issues being raised with a view to ensuring fairness and transparency and let me know of the position before you take any further action in this regard.

With regards, yours sincerely, Manmohan Singh

श्री. राजा

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A. RAJA

From A. Raja, November 2, 2007

Respected Sir, Vanakkam,

Kindly refer to your letter dated 2.11.2007 regarding various issues related to the telecom sector. In this regard I have already written to you a letter earlier today (copy enclosed) clarifying the position on processing of large number of applications received for fresh licences. Before giving clarifications to the averments contained in the annexure to your letter, I would like to inform you that there was, and is, no single deviation or departure in the rules and procedures contemplated, in all the decisions taken by my ministry and as such full transparency is being maintained by my ministry and I further assure you the same in future also.

I would like to assure you that all my decisions and endeavours are aimed at development of the telecom sector, increasing the teledensity and lowering the tariff for users.

With regards, yours sincerely, A. Raja

श्री. राजा

ए. राजा

A. RAJA

From A. Raja, December 26, 2007

Respected Sir, Vanakkam

Kindly refer to my letters dated 2.11.2007, and subsequent personal discussion with you on various issues related to the telecom sector. As discussed with you, I also had several discussions with the external affairs minister, who is also heading the GOM on vacation of spectrum on these issues. The major issues viz., (i) Subscriber based criteria for additional spectrum to existing operators; (ii) issue of dual technology; and (iii) issue of new licences were discussed with the external affairs minister at length.

Since the cases filed by Cellular Operators Association of India (COAI) on these issues before the Telecom Disputes Settlement & Appellate Tribunal (TDSAT) and Delhi High Court are being represented by the Solicitor General of India, he was also called for the discussions to explain the legal position.

In these circumstances, the discussions with the external affairs minister and Solicitor General of India have further enlightened me to take a pre-emptive and pro-active decision on these issues as per the guidelines and rules framed thereunder to avoid any further confusions and delay. The issue wise details and my decisions are given in the enclosed annexure.

With regards, yours sincerely, A. Raja

Encl: Annexure

[The 3-page annexure dealt in detail with the issues of Subscriber Linked Spectrum Allocation Criterion for CMTS/UAS Licensees and Use of Dual Spectrum (Alternate Technology) by UAS Licensees. What makes interesting reading is the third issue]

3. Issue of new licences

Although UASL guidelines issued in December 2005 clearly indicate that "licences shall be issued without any restriction on the number of entrants for provision of Unified Access Services (UAS) in the service area," DOT sought recommendation of TRAI on the number of UAS licences to be issued in a service area on 13-4-2007. The recommendations of TRAI were received by DOT on 29-08-2007 which suggested that "No cap be placed on the number of access service providers in any

of licence issue was reported to the prime minister". Since the matter was in court, Raja had sought the concurrence of Ghulam Vahanavati, the then solicitor general who is now the attorney general.

Obviously all that didn't help. The scam theory stems from the suspicion

that companies got licences cheap and encashed their equity. The companies—Swan and Unitech—for instance, got licences after paying Rs 1,658 crore. Subsequently, Swan issued fresh equity to induct UAE-based Etisalat as a partner at Rs 4,500 crore for a 45 per cent stake while Unitech issued equity

worth Rs 6,120 crore to Norwegian Telenor. Overnight, the entrepreneurs converted their connections into a net worth of over \$2 billion without rolling out, raising suspicions of a quid pro quo. But the norms prohibit promoters from offloading shares. Also money was raised through issue of fresh eq-